We can never know what the future holds in any aspect of life. This makes portfolio design a puzzle that is put together without all the pieces. We try to balance the correct technical solution based on the facts we do know with our assumptions about the future.

Behavior is also subjective input. The strange things that happen to us in life sometimes affect our behavior in ways we cannot predict. We can only guess how we will react to a sudden change in our social status, or martial status, or health status. The right asset allocation should have a high mathematical probability of achieving your financial goals while at the same time being compatible with what we estimate our emotional reaction will be to unexpected events. The goal of this chapter is to address the issues that drive the technical part of an asset allocation decision. Behavioral issues are discussed in Chapter 13.

TWO PORTFOLIOS FOR EACH STAGE

The remainder of this chapter is devoted to discussing the four stages of life-cycle investing. Asset allocations are suggested at each stage. They start with a broad recommendation for the amount to have in cash for living expenses and emergencies, long-term investment assets for future needs, and speculative investments. Figure 12-1 illustrates the three pyramid levels that are discussed. See Chapter 1 for a more detailed explanation of the investment pyramid.

FIGURE 12-1
Investment Pyramid of Liquid Assets